

Tamweel Aloula (KSA)

COLLATERAL APPLICATION

Functional Specification Document



Information in this document is subject to change without notice.

No part of this document may be reproduced or transmitted in any form or by any means, for any purpose, without the express written permission of TEMENOS HEADQUARTERS SA.

COPYRIGHT 2007 - 2008 TEMENOS HEADQUARTERS SA. All rights reserved.

Amendment History:

Version	Date	Author / Changed By	Status	Change Description
1.0	26-Aug-2024	Muneeb Ahmed	Initial	

Table of Contents

1. Background	4
1.1 Introduction.....	4
1.2 Reference Documents	4
1.3 Functional Overview.....	4
1.4 Requirements	4
1.5 Flow Chart of Limit and Collateral in Transact.....	5
2. Existing Functionality.....	5
2.1 Existing Workflow	5
3. Workflow Description.....	6
3.1 COLLATERAL PARAMETER.....	6
3.2 COLLATERAL TYPE.....	7
3.3 COLLATERAL CODE.....	8
3.4 COLLATERAL AND LIMITS.....	9
3.5 COLLATERAL DEAL PROCESSING OVERVIEW	10
3.6 COLLATERAL RIGHT.....	10
3.7 LIMIT LEVEL.....	11
3.8 CUSTOMER LEVEL	11
3.9 COLLATERAL.....	12
4. Proposed New Product Functionality	13
4.1 WS-CO-TA-01.....	13
4.2 Existing Functionality	13
4.3 Proposed Functionality	13
4.4 New and Amended Table	13
5. Reporting (Enquires and COB Reports).....	13
6. Tamweel Aloula Collateral Product and Requirement.....	13

1. Background

This Document has been prepared by Banking Financial Service (BFS) (SYSTEMS LTD) in response to requirement identified by BFS during Business Process Review (BPR), to develop certain functionality in T24.

By signing this document or otherwise approving or accepting it, Tamweel Aloula indicates its acceptance and approval to proceed with the work involved in designing proposed functionalities through parameterization and configuration.

1.1 Introduction

This Functional Specification Document (Hereafter FSD) will be covering the requirement and need of the Collateral Management functionality required for Bank (Hereafter bank). Furthermore, this document is to cover only the collateral aspect covered through T24.

1.2 Reference Documents

Reference Document	Description/Path	Author, Company
BPR and Gap Analysis	 WS_CO_BPR_GAP_ANALYSIS V1.1.xlsx	

1.3 Functional Overview

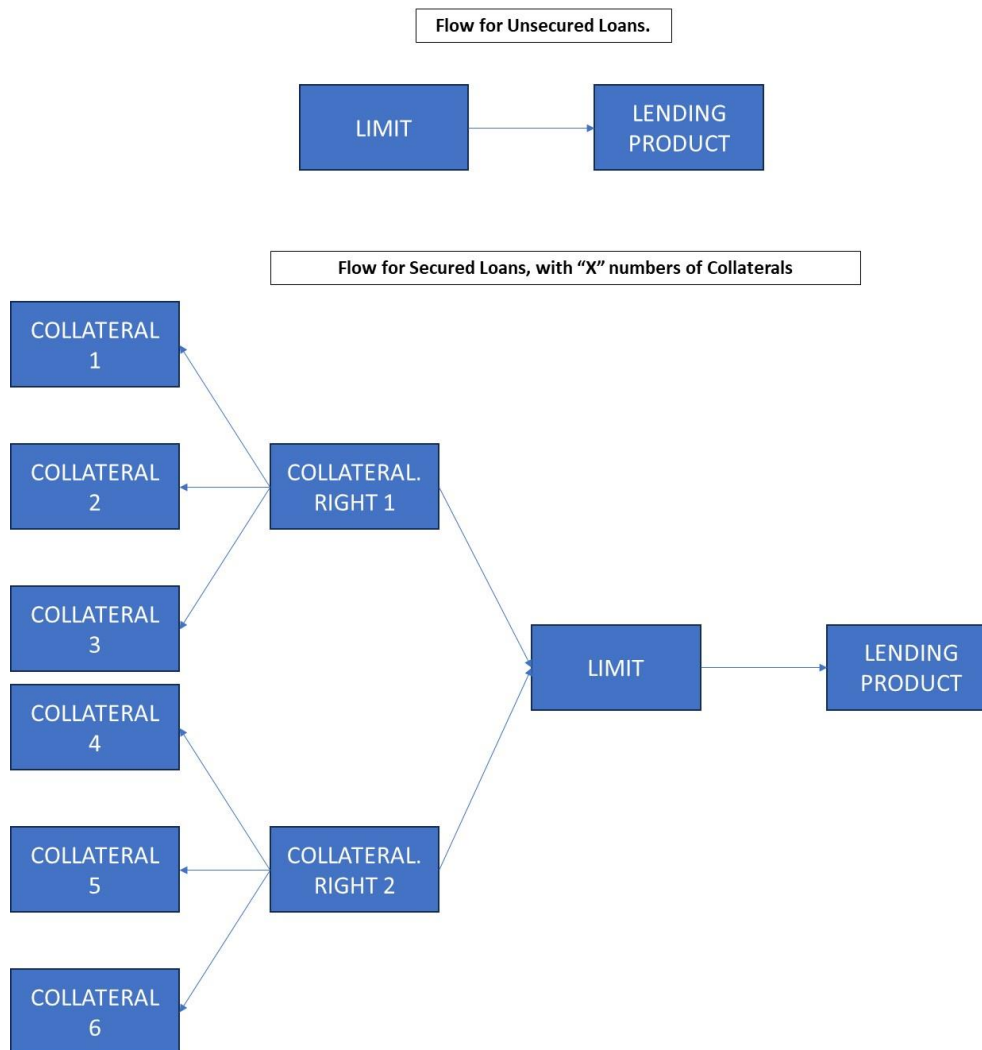
COLLATERAL is a T24 module and can link into the T24 LIMIT module, and allows the definition and control of collateralised limits. Presently since bank does not have any legacy system to cater for their collaterals, core application was shown and explained to the relevant stakeholders, and the same will be delivered thereon.

1.4 Requirements

There was one gap which are identified during the BPR session. Therefore, core collateral module of T24 will be delivered with Configuration, along with the Customization mentioned in BPR. Gap is mentioned below for the reference.

Gap Number	Description	Gap Type	Gap Effort
WS-CO-TA-01	In case, when Auto Finance (Ijarah) Collateral Code/Type is selected while creation of Collateral, the depreciation Rate will be calculated in LOS. Local ref will be added in transact at Collateral Details level to capture this information. For the reporting purpose.	Customization	Medium

1.5 Flow Chart of Limit and Collateral in Transact



2. Existing Functionality

2.1 Existing Workflow

This system will cater for the collateral needs of bank. Furthermore, this core T24 module is essential in servicing the collateral management system which bank is implementing via this project.

Collateral Application is used to record the details of collateral submitted by a customer, its value(s) and, optionally, to link it directly to a customer's supporting deal elsewhere in the system.

Below is the key functionality the system provides for the creation of COLLATERAL in the system.

1. COLLATERAL.PARAMETER (Setup table)
2. COLLATERAL.TYPE (Setup table)
3. COLLATERAL.CODE (Setup table)
4. CUSTOMER.COLLATERAL. TYPE (Customer specific)
5. COLLATERAL AND LIMITS (Customer specific)

3. Workflow Description

Core T24 Collateral Module is to be used in the bank. Below T24 collateral module is briefly explained.

3.1 COLLATERAL PARAMETER

The COLLATERAL.PARAMETER is used to define company level system parameters; therefore, the ID is the COMPANY code of your T24 system. The values entered on the record will affect the defaults used when creating collateral files and the length of time items are held on the system.

Revaluation Info: Determines to what extent a history of the revaluation of a collateral record is kept (i.e., how many previous values).

Stat Rep Line Desc: Identifies which descriptive field from the report lines file is used to enrich the source & target line fields on the collateral allocation table.

Default Address. 1: Indicates types of collateral for which the address is to be defaulted from the customer record.

Collateral Link: It is a direct link from the input screen of the collateral right to the input of collateral objects belonging to it.

Retention Period: A period after the expiry date has been reached during which they remain on the 'live' file.

Fx Risk Margin: Margin for the collateral currency defined in field COLLATERAL.CCY.

Order Priority: Determines whether manual allocation of priority in COLLATERAL.RIGHT is allowed.

Cover Unsecured 1St: The portion of a LIMIT which is allowed unsecured by collateral may be allowed before any collateral is allocated or it may be allowed after an amount covered by collateral.

Note that the DEFAULT.ADDRESS field relates to whether you want to record details from the CUSTOMER file for certain COLLATERAL.TYPE records. So, you may need to amend this record again later.

There is a useful option set by the field called COLLATERAL.LINK. This takes the user to the appropriate COLLATERAL record straight after they have successfully validated the COLLATERAL.RIGHT record it relates to. Whilst this is very useful for getting the key correct and aiding input, it should be noted that the records still require authorisation in the correct order (COLLATERAL.RIGHT before related COLLATERAL records).

3.2 COLLATERAL TYPE

This file is used to define classes (or types) of COLLATERAL such as cash, buildings, guarantees and stocks (or sub-divisions thereof). The information on this file is used to determine, for each type, how the COLLATERAL value is established, re-valued and linked to other applications.

The key to this record is numeric and is entered in the COLLATERAL.CODE records.

In this example screenshot, the APPLICATION field has been set to mandatory using the APPLICATION.INPUT field and is multi-valued to allow the differing types to be accepted under this class of collateral. It should be noted that the valuation method should be valid for the types entered.

A short note on value types:

1. **NOMINAL.VALUE** - Is the face value or current market value of collateral.
2. **EXECUTION.VALUE** - Is expected value it would realise on sale. This can be expressed as a percentage of Nominal value if required or value of underlying MM, LD contract etc.
3. **THIRD.PARTY.VALUE** - Shows how much value of the collateral is used outside of T24, the prior right of another lender. This amount is deducted from execution value to determine the net execution value of collateral.
4. **GEN.LEDGER.VALUE** - The amount we record for General Ledger purposes.
5. **CENTRAL.BANK.VALUE** - Any specific limitation on values set by the Central Bank.

Input choices for the fields are:

1. M – Mandatory
2. O - Optional
3. N - Non imputable
4. n%N - Percentage of Nominal value
5. n%E - Percentage of Execution value
6. F - Fed The nominal value of the collateral is automatically fed from the application main record belonging to the collateral
7. FM - Fed/Margin (available only when securities is entered in the APPLICATION field)
The nominal value of the collateral is automatically fed from the application main record belonging to the collateral, using the margin value calculated by the application.

The field CASH.COLLATERAL is added to COLLATERAL.TYPE indicate whether the collateral is a cash collateral or not. 'Yes' or 'No' field. Null will be considered as No.

3.3 COLLATERAL CODE

COLLATERAL.TYPE records must be input prior to COLLATERAL.CODE record.

COLLATERAL.CODE	Audit
COLLATERAL.CODE / 300	
Description*	Guarantee Issued
Short Name*	Guarantee
Collateral Type 1	300 - Guarantee Issued
Percent Date Fqu	
Review Fqu	
Co Allocated Bal Type	
Co Utilised Bal Type	
Co Unutilised Bal Type	
Local Ref 1	

Once the values in COLLATERAL.TYPE have been input, the COLLATERAL.CODE records may be entered. The COLLATERAL.CODE allows further sub classification of the collateral objects like credit balances in account, land, buildings, bronze sculpture, stone carvings and so on. Each of these sub classifications in T24 can be recorded in a COLLATERAL.CODE record.

The collateral codes are linked to COLLATERAL.RIGHT records; these collateral rights can be recalculated and the rights themselves can also be reviewed at periodic intervals. This is achieved by using the following fields:

- PERCENT.DATE.FQU is a combined date and frequency field, which determines if and when the system is to automatically recalculate the value of the PERCENTAGE.COVER field of the COLLATERAL.RIGHT main file records belonging to this code.
- REVIEW.FQU is used to generate a default value for the REVIEW.DATE.FQU field in the COLLATERAL.RIGHT main file belonging to this code.

The collateral code is also used in determining how collateral values are reallocated across central bank reporting lines.

3.4 COLLATERAL AND LIMITS

FIXED AND VARIABLE LIMITS

When a LIMIT is linked to COLLATERAL, the LIMIT must be defined as either fixed or variable in the FIXED.VARIABLE field on the LIMIT record.

- Fixed means that the LIMIT is unaffected by the value of the COLLATERAL and the link is being made for information only.

The screenshot shows a web form for a 'Secured joint Limit / LI2402900new'. The form has tabs for 'Secured Joint Limit', 'Limit Details', 'Collateral Details', 'Other Details', 'Intraday Limit', 'Signatory Details', and 'Audit'. The 'Limit Details' tab is active. The form contains the following fields:

- Currency: SAR - Saudi Riyal
- Country of Risk 1: SA - Saudi Arabia
- Country Percent 1: 100
- Proposal Date: 29 JAN 2024
- Approval Date: 29 JAN 2024
- Offered Until: 29 JAN 2024
- Review Frequency: 29 JAN 2025 M0101 - 29 JAN 2025 Monthly on day 1
- Expiry Date: 29 JAN 2025
- Online Limit Date: 29 JAN 2024
- Internal Amount: 1,000,000.00
- Advised Amount: 800,000.00
- Fixed Variable: Fixed (highlighted in yellow)
- Maximum Total: 800,000.00
- Available Marker: Y

- Variable means that the available amount of the LIMIT will correspond to the current value of the COLLATERAL.

The screenshot shows the same web form as above, but with the 'Fixed Variable' field set to 'Variable' (highlighted in yellow). All other fields remain the same.

In the example above, a LIMIT is granted up to an overall maximum. If this facility requires security, it must be indicated by the user whether the online LIMIT is to be system-maintained (variable) or set to the full maximum total allowed and fixed at that level.

The current value of this security is, in either case, indicated by the system. The screen shots below highlight the difference between using FIXED or VARIABLE. Notice the ONLINE.LIMIT and AVAIL.AMT are different.

Collateral	Audit
Collateral Details / 100067.1.1 HAFIZ	
Collateral Type	700 - Fixed Assets
Customer Id	100067 - HAFIZ
Collateral Code	700 - Fixed Assets
Collateral Right Id	100067.1
Description 1	VEHICLE COLLATERAL
Currency	SAR - Saudi Riyal
Country	SA - Saudi Arabia
Nominal Value	1,000,000.00
Execution Value	850,000.00
Value Date	29 JAN 2024

An upper limit may be set in the MAXIMUM.TOTAL field. For variable LIMIT records, this means that if the value of the COLLATERAL exceeds this maximum no, more than the MAXIMUM.TOTAL will be granted.

3.5 COLLATERAL DEAL PROCESSING OVERVIEW

Collateral records for individual customers who are offering different types of collateral to the bank need to be established. This is done using the following applications:

- COLLATERAL.RIGHT
- COLLATERAL

3.6 COLLATERAL RIGHT

The *COLLATERAL.RIGHT* file is used to record the status of a right of security and to indicate against which customer outstanding, the right applies. The link between the *COLLATERAL.RIGHT* and the *COLLATERAL* object itself is implicit in the item-id structure between the two files.

Collateral Link	Audit
Collateral Link / 100067.1 HAFIZ	
Customer 1	100067 - HAFIZ
Collateral Code	700 - Fixed Assets
Collateral Priority	1
Limit Group/Company 1	BNK - SA0010001
Limit Reference 1	L12402900new - Ijarah - Child
Valid Date	29 JAN 2024

Field ALLOCATION.AMT is used to specify allocation amount. This is allowed only when the Contract Reference is directly provided. Field ALLOCATION.CCY is defaulted by system based on the contract id. The LIMIT.REFERENCE field on the *COLLATERAL.RIGHT* record is used to identify which contract(s) the collateral is valid against. This link between the collateral and the outstanding debt balances belonging to the customer may be made at one of three levels as follows:

- **Contract/account level** - the collateral is valid only against a given contract or set of contracts

- **Limit level** - the collateral is valid against all contracts currently recorded under a particular limit reference and against any contracts which subsequently come under the limit
- **Customer level** - the collateral is valid against any debit balance, which exists or arises on the customer's accounts or contracts with the bank.

3.7 LIMIT LEVEL

Collateral Link	Audit
Collateral Link / 1000671 HAFIZ	
Collateral ID 1	
Customer 1 100067 - HAFIZ	
Collateral Code 700 - Fixed Assets	
Collateral Priority 1	
Limit Group/Company 1 BNK - SA0010001	
Limit Reference 1 LJ2402900new	
Limit Ref Cust 1	
Allocation % 1	
Allocation Currency 1	
Allocation Amount 1	
Limit Cap % 1	
Limit Group/Company 2 BNK - SA0010001	
Limit Reference 2 LJ24029VZHX8	
Limit Ref Cust 2	
Allocation % 2	
Allocation Currency 2	
Allocation Amount 2	
Limit Cap % 2	

The COLLATERAL is valid against all contracts currently recorded under a particular limit reference and against any contracts, which subsequently come under that LIMIT.

Collateral can be allocated to limits at any product level if PERCENT.ALLOC is populated; in this case, the percentage of the execution value of the COLLATERAL defined is directly allocated to the limit defined in LIMIT.REFERENCE.

If PERCENT.ALLOC is not defined then the execution value of the defined collateral is allocated in order of entry, to the limit at the top of the limit structure of the limit defined in LIMIT.REFERENCE. The amount allocated is for the value of the ONLINE.LIMIT until the execution value of the collateral is exhausted.

3.8 CUSTOMER LEVEL

The COLLATERAL is valid against any debit balance, which exists or arises on the customer's accounts or contracts with the bank.

Collateral Link	Audit
Collateral Link / 1000671 HAFIZ	
Customer 1 100067 - HAFIZ	
Collateral Code 700 - Fixed Assets	
Collateral Priority 1	
Limit Group/Company 1 BNK - SA0010001	
Limit Reference 1 LJ2402900new - Ijarah - Child	
Valid Date 29 JAN 2024	

It is important to note that though the default name of the field is LIMIT.REFERENCE, the actual content may be either:

- An *ACCOUNT*
- A *FOREX* contracts
- A *MM.MONEY.MARKET* contract
- A *MG.MORTGAGE* contract
- An *MD.DEAL* contract (Guarantee)
- A valid *LETTER.OF.CREDIT*
- An AA Loan Arrangement
- Or the entire *CUSTOMER* outstanding's if this is left blank

3.9 COLLATERAL

The item of collateral itself is defined on the *COLLATERAL* file, which contains details of the values, review frequency, value date and expiry of the collateral.

Collateral	Audit
Collateral Details / 100067.1.1 HAFIZ	
Collateral Type	700 - Fixed Assets
Customer Id	100067 - HAFIZ
Collateral Code	700 - Fixed Assets
Collateral Right Id	100067.1
Description 1	VEHICLE COLLATERAL
Currency	SAR - Saudi Riyal
Country	SA - Saudi Arabia
Nominal Value	1,000,000.00
Execution Value	850,000.00
Value Date	29 JAN 2024

It is also possible to define a partial use of an item, a fixed amount of the available collateral and even on the contract itself the maximum usage of that collateral. At present this is restricted to Money market deposits.

There is the option to enter an *EXPIRY.DATE* on both the *COLLATERAL* item itself and the controlling *COLLATERAL.RIGHT*. An item of *COLLATERAL* is marked as liquidated on the earlier of these two dates. Once the *COLLATERAL* expiry is reached, the value is no longer useable by the system, whereas when the *COLLATERAL.RIGHT* expiry is reached, the right to all collateral linked to it becomes invalid.

Note: The expiry of the item of collateral (such as the deposit contract maturity) is not defaulted automatically to the *EXPIRY.DATE* field. This is because the underlying contract can of course be extended at any time.

A collateral can be excluded from the surplus or deficit calculation of the customer's assets and in the liability allocation.

4. Proposed New Product Functionality

4.1 WS-CO-TA-01

In case, when Auto Finance (Ijarah) Collateral Code/Type is selected while creation of Collateral, the depreciation Rate will be calculated in LOS.

Local ref will be added in transact at Collateral Details level to capture this information.

For the reporting purpose.

4.1.1 Existing Functionality

Currently, there is no field in the system to capture depreciation rate and depreciated amount.

4.1.2 Proposed Functionality

In order to catered Tamweel Aloula mentioned requirement, two local ref fields will be added at COLLATERAL application level. Depreciation rate and amount will be sent by LOS through an API which will store in the mentioned two fields accordingly.

These fields will not impact the actual collateral value but only use for reporting purpose only.

4.1.3 New and Amended Table

Below local fields will be added in COLLATERAL application.

ID Name	Type	Length	Description	Mandatory/Non-Mandatory
L.DEPRECIATION.RATE	Numeric	3	Will be auto fetching through API from LOS	Mandatory in case of Ijarah (Auto Finance)
L.DEPRECIATED.AMOUNT	Numeric	13	Will be auto fetching through API from LOS	Mandatory in case of Ijarah (Auto Finance)

5. Reporting (Enquires and COB Reports)

Standard reports and inquiries will be made available as mentioned above in workflow.

6. Tamweel Aloula Collateral Product and Requirement

Below are the Collateral products details, indicating where collateral is required and where the loan will be clean.

S No.	Product Name	Mode of Financing	Collateral Used	Nature of Assets	Margin
1	Personal Finance	Tawwaruq	Clean	Cash	0
2	Personal Finance	Murahaba	Clean	Asset Car Home appliances laptop, etc (under the ownership of customer) Service Education Hospital Operations Any Intangible asset etc	0
3	Personal Finance	Ijarah	Car/ Vehicles	Car (under the ownership of Tamweel)	0
4	Home Loan	Tawwaruq	Real State	Cash	0
5	Home Loan	Murahaba	Real State	Real State and Payment to Vendor (under the ownership of Tamweel)	0
6	Home Loan	Ijarah	Real State	Real State and Payment to Vendor (under the ownership of customer)	0